

CAMS Exam Preparation

Complete Review of All 4 Domains (100 Slides)

Based on CAMS Candidate Handbook

*Domain A: 30% — Domain B: 20% — Domain C: 30% — Domain D:
20%*

A.1.1: Money Laundering vs. Terrorist Financing

Key Distinction (Heavily Tested)

- **Money Laundering:** Conceals **illicit origin** of proceeds; makes funds appear legitimate. Always involves dirty money from predicate crimes.
- **Terrorist Financing:** Funds may be **legitimate** (donations, salary, business income); concealment objective is **intended use** for violence, not origin. Can involve very small amounts.

CRITICAL: Standard AML controls focused on suspicious **origins** may fail to detect TF involving **clean-source funds**. TF can involve small amounts from many donors (crowdfunding). Also, TF often moves money *to* a terrorist, whereas ML moves money *away from* the crime source.

A.1.2: Predicate Offenses for Money Laundering

FATF Recommendation 3 - Predicate Offenses

- FATF recommends the "**all-crimes approach**" - applies to proceeds from **all serious criminal acts**. This is the global gold standard.
- **Self-laundering IS criminalized** - predicate offender can also be charged with money laundering (e.g., drug dealer washing his own cash).
- 6AMLD harmonizes **22 predicate offenses** across EU, including tax crimes, cybercrime, and environmental crime.

Example: Drug trafficker who processes own proceeds through a car wash business → can be charged with BOTH drug trafficking AND money laundering. No need for a separate third-party launderer.

A.1.3: 6AMLD - Corporate Criminal Liability

EU Sixth Anti-Money Laundering Directive (6AMLD)

- **Harmonizes 22 predicate offenses** across all EU member states (binding, not optional).
- **Introduces criminal liability for legal persons (corporations)** - not just fines, but criminal charges.
- Corporation can be prosecuted and subject to: fines, debarment from public contracts, loss of subsidies, judicial supervision, dissolution.
- Does NOT require conviction of individual directors first (entity can be liable independently).
- Extends liability to negligent supervisors who fail to prevent ML.

TIP: 6AMLD is **heavily tested** - know the difference from 5AMLD (5AMLD added VASPs and lowered prepaid card thresholds from EUR 250 to EUR 150).

A.2.1: Consequences of Money Laundering

Economic Consequences

- Distorts markets and asset prices (artificial demand)
- Undermines legitimate private sector (unfair competition)
- Loss of tax revenue for governments
- Reputational damage to financial centers (capital flight)
- Misallocation of resources (real estate bubbles)

Social Consequences

- Funds criminal enterprises (drugs, trafficking, arms)
- Corruption of public officials and erosion of trust
- Erodes rule of law and democratic institutions
- Fuels violence, instability, and terrorism
- Increases poverty and inequality

A.2.2: Consequences of Indiscriminate De-Risking

De-Risking Definition

Termination of entire categories of customer relationships without individual risk assessment (e.g., "no more MSBs" or "no more Caribbean correspondents").

Negative Consequences (Heavily Tested):

- Legitimate businesses lose access to global financial system (e.g., remittance corridors for migrant workers).
- Drives transactions into **unregulated, informal channels** (e.g., hawala, crypto mixers) which are harder to monitor.
- Harms financial inclusion and developing economies (remittances are lifelines).
- Contradicts the mandatory **risk-based approach** required by FATF.

FATF & Wolfsberg guidance: Individual, documented risk assessments required - NOT blanket exclusions. Exiting a relationship must be based on documented unacceptable residual risk.

A.3.1: Self-Laundering and Double Jeopardy

Self-Laundering (18 U.S.C. §1956)

- U.S. law **DOES** criminalize self-laundering (unlike some civil law jurisdictions historically).
- Predicate offender CAN be charged with money laundering for processing own proceeds (e.g., spending drug money on real estate).
- **Double jeopardy argument fails** - each offense requires proof of different elements (predicate crime + financial transaction with intent to conceal).

Example

Wire fraud (predicate: deceptive scheme) + money laundering of proceeds (financial transaction to conceal source) = TWO separate crimes with distinct elements. Consecutive sentences possible.

A.4.1: Trade-Based Money Laundering (TBML)

TBML Techniques (Heavily Tested)

- **Over-invoicing:** Inflated prices → transfer excess value from importer to exporter (exporter overstates value, receives excess payment).
- **Under-invoicing:** Deflated prices → importer sells at market price, keeps surplus as "clean" funds (understates value, pays less, resells at true value).
- **Phantom shipping:** No actual goods; fabricated documentation (bill of lading, invoices) to move money.
- **Multiple invoicing:** Same goods invoiced multiple times, often through different banks.
- **Short-shipping/over-shipping:** Discrepancy between invoice quantity and actual shipped goods.

Red flags: Prices significantly above/below market (e.g., 400% premium), shell company exporter, multiple L/C amendments, circuitous shipping routes, inconsistent with exporter's normal business.

A.4.2: Free Trade Zone (FTZ) Vulnerabilities

Why FTZs are High Risk

- **Relaxed regulatory oversight** (customs and AML controls minimal).
- Minimal customs documentation inspections (goods in transit often not examined).
- High volume of re-exported goods (obscures origin and destination).
- Opportunity for mislabeling cargo (e.g., electronics labeled as scrap).
- Phantom shipments (no goods, just paperwork).
- Presence of shell companies and nominee directors.

Red flags: Uniform invoice values regardless of cargo (all \$50,000), empty containers, altered bills of lading, nominee directors, goods remaining in FTZ far longer than normal.

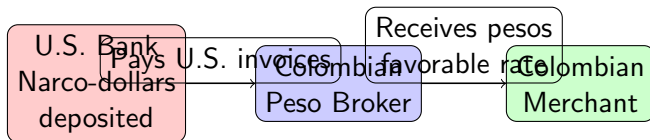
A.4.3: Black Market Peso Exchange (BMPE)

BMPE Mechanism (Heavily Tested)

- 1 Narco-dollars deposited in U.S. accounts (often structured below 10k).
- 2 Colombian peso broker buys those dollars at a discount (e.g., 20-30% below official rate).
- 3 Broker uses dollars to pay U.S. invoices for Colombian merchants (legitimate goods like electronics, clothing).
- 4 Colombian merchant repays broker in pesos (at favorable rate, often above market).
- 5 **No cross-border currency movement** after initial deposit; drug dollars become pesos without leaving Colombia officially.

Key insight: Uses drug dollars to pay legitimate commercial invoices; converts narco-dollars into domestic pesos without wire transfers. The broker profits on the exchange rate spread.

A.4.4: Black Market Peso Exchange - Diagram



No wire transfers! The scheme uses **existing U.S. dollars** to pay legitimate invoices, avoiding cross-border movement. Detection requires analyzing unusual trade invoices and structured cash deposits.

A.5.1: Correspondent Banking Risks

Nested Correspondent Accounts - Critical Risk

When a respondent bank allows third parties (e.g., its own customers, other smaller banks, MSBs) to route transactions through the correspondent account **without disclosure**:

- Correspondent bank loses visibility into true originators/beneficiaries (only sees respondent as sender/receiver).
- Increased risk of processing for sanctioned entities or illicit actors.
- Violates core KYC and correspondent banking due diligence (CDD on underlying users is missing).

Required actions: Immediate RFI to respondent, SAR filing if suspicious, reassess relationship, potentially terminate if no adequate response.

A.5.2: Payable-Through Accounts (PTAs)

PTA Obligations (U.S. Regulations)

- Correspondent bank **MUST** apply CDD directly to respondent's underlying PTA accountholders (cannot delegate).
- Must maintain records identifying each PTA accountholder (name, address, tax ID).
- **Cannot rely solely on respondent's CDD** - must perform own due diligence on those using the PTA.

Red flag: Multiple sub-\$10,000 wires from different PTA accountholders to same shell company → possible structuring/money mule activity. Also, rapid in-and-out flows with no business purpose.

A.6.1: MSB Agent Network Risk

MSB Principal Responsibility

- MSB principal is **responsible for agent network compliance** under BSA (e.g., MoneyGram for its corner store agents).
- Unexplained volume spikes require investigation (e.g., agent does \$5M/month when historical \$100k).
- SAR filing on agent location may be required for suspicious activity (not just on customers).
- Agent termination if compliance cannot be ensured (e.g., refuses monitoring, falsifies records).

Red flag: Agent processes 5,000% above historical average → all transfers under \$900 (just below CTR), same destination countries, same customer phone number repeated across senders.

A.7.1: PEP Definition and Family Members

PEP Classification (FATF)

Who qualifies as PEP:

- Foreign heads of state/government (presidents, prime ministers)
- Senior politicians, cabinet ministers, senior parliamentarians
- Senior judicial officials (supreme court justices, constitutional court)
- Senior military officials (generals, admirals)
- Senior executives of state-owned enterprises (CEOs of national oil companies)
- **Family members and close associates** of the above (spouse, children, parents, siblings, known business partners)

Critical: Adult child of a foreign minister **IS a PEP family member** requiring EDD, even with no government position. Close associate who jointly owns a company with a PEP is also a PEP.

A.7.2: PEP Lifecycle Management

When a Customer Becomes a PEP (Mid-Relationship)

- **Immediate reclassification to HIGH risk** (no delay, no grace period).
- Mandatory Enhanced Due Diligence (EDD) applied within days, not months.
- Re-establish and verify source of wealth AND source of funds (new documentation required).
- Senior management approval to continue relationship (documented sign-off).
- Back-dated gap period is a control failure (e.g., "we knew but didn't act for 6 months" is violation).

Example: Customer elected to foreign cabinet → bank must re-rate immediately, NOT wait for scheduled annual review. Apply EDD to all existing accounts and transactions.

A.7.3: Former PEP - Grace Period

PEP Status After Retirement

- FATF: maintain PEP status for "**reasonable period**" (minimum 12 months recommended).
- **Risk-based decision** - consider country corruption risk, continued informal influence, business connections to current PEPs.
- 5 years clean activity (no red flags, transparent wealth) MAY justify lowering to medium or standard risk.
- **Must be documented** with rationale for any change.

No automatic rule; each decision must be documented with risk rationale. A former president of a high-corruption country may remain PEP for life.

A.7.4: EDD - Source of Wealth vs. Source of Funds

Critical Distinction (Heavily Tested)

- **Source of Funds (SoF):** Specific transaction being deposited (e.g., property sale contract showing proceeds from buyer, inheritance letter, business dividend voucher).
- **Source of Wealth (SoW):** How PEP accumulated **overall net worth** over time (career earnings, inheritance, business ownership, investments, gifts).

EDD for PEPs requires BOTH. A lifelong civil servant with a \$4.5M Paris apartment → SoF document (sale contract) insufficient without SoW showing how she could afford to buy it. Must trace back to legitimate income, gift, inheritance, or loan.

A.8.1: Life Insurance ML Vulnerabilities

CDD Triggers for Life Insurance

- Premium $\geq$ USD/EUR 10,000 per year OR single premium $\geq$ USD/EUR 10,000 triggers CDD.
- Must apply CDD to **policyholder AND beneficiary** (once beneficiary is designated, possibly later).

Exploitation methods:

- Policy loan feature = layering (convert dirty premium to "legitimate" loan check, then surrender).
- Cash surrender value extraction after brief holding period (e.g., 6 months, pay penalty but get clean check).
- Premiums from secrecy haven jurisdiction + offshore shell company beneficiary = red flags for TF or ML.

A.9.1: MSB Registration Triggers (U.S.)

Who Must Register as MSB with FinCEN

- Check casher cashing $\geq$ \$1,000 per person per day (any day).
- Money transmitter (any volume, including crypto-to-fiat and fiat-to-crypto).
- Currency dealer or exchanger (forex, crypto if exchanging).
- Issuer or seller of prepaid access (stored value cards).
- Traveler's check issuer.

Grocery store cashing checks $\geq$ \$1,000/day without registration = BSA violation. "No ID required" policy + MSB services = ML vulnerability (anonymous transactions).

A.10.1: Insurance Red Flags

Life Insurance ML Indicators

- Single premium payment from offshore shell company (no legitimate business reason).
- Early surrender (e.g., 60 days) with proceeds sent to a different bank account than premium source.
- Policyholder is foreign PEP; beneficiary is offshore shell company.
- Premium from secrecy haven jurisdiction (e.g., Caymans, Panama, with no economic substance).
- Large premium relative to legitimate income (e.g., janitor buys \$2M policy).

Layering technique: Purchase policy (placement) → take policy loan (layering: dirty money becomes "loan" on books) → wire to offshore account (further layering) → surrender policy (integration: get check minus penalty).

A.11.1: FATF Travel Rule for VASPs

Virtual Asset Travel Rule (Recommendation 16)

Required information for transfers above threshold (USD/EUR 1,000):

- Originator: name, account number/wallet ID (or unique transaction identifier).
- Originator: address, national ID, customer ID, or DOB (at least ONE of these three).
- Beneficiary: name and account number/wallet ID.

Receiving VASP obligations: Must obtain and hold info; if not provided → follow up, delay transaction (e.g., 24 hours), apply EDD, consider SAR. Non-compliance is a regulatory violation.

A.11.2: DeFi and AML Responsibility

FATF DeFi Guidance - Critical Point

If a person/entity maintains **control or sufficient influence** over a DeFi protocol:

- Through governance token majority (>50% of voting power).
- Ability to upgrade contract code (admin keys, multi-sig control).
- Ongoing management/control (fees, parameters, user access).

They may be considered a VASP subject to registration, KYC, transaction monitoring, and SAR filing obligations. "Decentralized in name only" is not a defense.

Example: 5 founders retain 68% governance tokens and control code upgrades → likely subject to AML obligations as a VASP.

A.11.3: Privacy Coins and Mixers

Anonymity-Enhanced Cryptocurrencies (AECs)

Monero (XMR) risk features:

- Ring signatures (obscures which input is real) and stealth addresses (one-time addresses per transaction).
- Can be used with mixers/tumblers (e.g., Wasabi, Tornado Cash) to further obfuscate trail.

Red flags requiring EDD/SAR:

- Customer deposits privacy coin → immediately exchanges for BTC/ETH → sends to non-custodial wallet → refuses to explain source.
- Funds sent through non-regulated mixer before deposit (chain hop pattern).
- Customer claims "privacy protection" without legitimate business explanation (e.g., no need for a grocery store to use Monero).

A.11.4: NFT Wash Trading

NFT Wash Trading Typology

- 1 Self-controlled wallets (e.g., 5-20 wallets owned by same person) buy/sell same NFTs among themselves.
- 2 Prices artificially escalate through circular transactions (e.g., 2k -> 50k -> >200k).
- 3 Creates fraudulent market record (looks like high demand).
- 4 Sells NFT to unwitting third party at inflated price.
- 5 Converts to fiat, reports as "capital gain" for tax purposes, laundering the original illicit funds.

Exchange obligation: File SAR based on wash trading pattern regardless of whether underlying proceeds from predicate crime. Pattern detection is key.

A.12.1: Casino Chip Washing

Chip Washing Scheme

Pattern:

- Large cash purchase of chips (≥\$10,000, triggers CTR).
- Minimal gaming (e.g., 45 minutes, \$1,500 played, mostly low-risk bets).
- Cash out rest for casino check (clean paper trail).
- Accepts small "gaming loss" (e.g., \$500) as cost of laundering (like a fee).

Obligations: File CTR for cash-in + SAR (chip washing pattern if gaming disproportionate to buy-in) → combined placement (cash to chips) and integration (check from casino). Also check if chip purchases made by third party.

In-Game Currency Laundering

Stages:

- ➊ **Placement:** Purchase in-game currency (e.g., V-Bucks, Gold) with criminal cash via prepaid cards or crypto.
- ➋ **Layering:** Distribute across multiple gamer accounts (trade among themselves).
- ➌ **Integration:** Sell currency peer-to-peer (e.g., eBay, Discord) for PayPal or bank transfer, deposit to clean accounts as "gaming income" or "digital asset sale."

Difficulty: Small individual transactions (\$200-\$800) fall below reporting thresholds (e.g., \$3k for PayPal in some jurisdictions); requires pattern recognition across many small sells.

A.13.1: FinCEN Geographic Targeting Orders (GTOs)

GTO Requirements

- Title insurance companies must identify **natural persons behind legal entities** (LLCs, trusts, corporations) buying residential real estate.
- All-cash purchases above threshold (\$300,000 in designated metro areas; varies by area).
- Target specific metropolitan areas (Miami, LA, NYC, Chicago, Seattle, Las Vegas, etc.).
- **Temporary** orders, renewed periodically (every 6-12 months).

Red flags: Recently formed LLC (e.g., 2 weeks before closing), IOLTA wire (attorney trust account), registered agent refuses to disclose UBO → decline closing until UBO identified and verified.

A.13.2: Real Estate Integration

Real Estate as Integration Vehicle

Example scheme:

- ① Structured cash deposits (placement, under \$10k each at multiple banks).
- ② Purchase property via anonymous LLC (layering, hides true buyer).
- ③ Rent property, report rental income on taxes (integration: funds now appear legitimate from a legal business).

Red flags for acquiring bank when property sold (e.g., after 2 years):

- Rapid appreciation (e.g., \$9.5M to \$12M in 18 months in normal market).
- Original purchase by anonymous LLC with no obvious source of funds.
- Wire proceeds to secrecy haven account (Caymans, Switzerland) immediately after sale.
- No verified source of acquisition funds at time of sale (bank didn't

A.14.1: IOLTA Account Vulnerabilities

Why IOLTA Accounts Are Dangerous

- Banks rely on attorney's professional status (presume legitimate).
- **Do NOT look through** pooled account to identify individual client sub-transactions (lack of granular monitoring).
- Illicit funds enter credentialed by attorney status (seems legitimate).
- Commingled with legitimate client funds (makes tracing hard).
- Rapid disbursement possible (attorney can move funds quickly to third parties).

Red flags: Wire from shell company to IOLTA (no prior relationship), retainer disproportionate to transaction (e.g., 500k retainer for 50k real estate deal), no face-to-face contact (client from high-risk jurisdiction), rapid disbursement to offshore or unrelated third parties.

A.15.1: Trust Beneficial Ownership

Trust CDD Requirements (FATF)

Must identify and verify:

- Settlor (person who creates the trust and contributes assets).
- Trustee (and its UBOs if corporate trustee like a trust company).
- **Protector** (if has veto, replacement rights, or power to direct distributions).
- Beneficiaries (to extent determinable - named individuals or defined class).

Protector with veto over distributions qualifies as PEP if former head of state → entire trust becomes high risk requiring EDD. Bank must look through to each role.

Bearer Shares - Highest Vulnerability

- Ownership transferred by physical delivery of certificate (whoever holds the paper owns the shares).
- **NO public registry record** of who owns the company.
- FATF Recommendation 24: prohibit or require immobilization with regulated custodian (e.g., bank, licensed agent).

Bank obligations:

- Verify custodian can identify bearer share holder at all times (must have recorded transfers).
- Still need to identify UBO for CDD regardless of immobilization (ask custodian for name).
- Decline account if custodian refuses to disclose UBO (cannot accept anonymous ownership).

A.16.1: Financial Statement Manipulation

Red Flags Involving Accountants

- Financial statements inconsistent with bank statements (e.g., reported revenue \$10M, deposits \$2M).
- Unusually high "consulting fees" or "services" with no deliverables or contracts.
- Client cannot explain discrepancy between reported income and cash flow (e.g., tax return shows \$500k income, lifestyle shows \$5M spending).
- Auditor unwilling to verify underlying records (e.g., "we trust management").

Bank action: Verify underlying records (e.g., sales invoices, contracts) directly with customer; do NOT rely solely on accountant-prepared financial statements. SAR if discrepancy unexplained.

A.17.1: Human Trafficking Financial Indicators

Trafficking Red Flags (Heavily Tested)

- Multiple individuals sending small payments to single controller account (e.g., 50 people send \$200 each monthly).
- Controller pays utilities for multiple residential addresses (electric, water, internet for different houses).
- Weekly cash withdrawal of 85-95% of balance (victims get minimal spending money).
- No employment contracts or payroll records for apparent workers.
- Victims share same surname as controller (family-based trafficking).
- Large number of transactions at odd hours (e.g., 2 AM in massage parlors, nail salons).

vs. Human Smuggling: Trafficking = ongoing exploitation (forced labor, sexual); Smuggling = one-time fee for illegal border crossing (ends at destination).

A.17.2: NPO Terrorist Financing Vulnerabilities

FATF Recommendation 8 - NPO Risks

Vulnerabilities:

- Operate in conflict zones with weak financial monitoring (Syria, Yemen, Somalia).
- Enjoy public trust, receive large cash donations (often anonymous).
- Limited scrutiny of fund utilization (donors don't audit).
- Cash withdrawals inconsistent with stated mission (e.g., food charity making large cash withdrawals near conflict zone).

Red flags: Large donation from Grey List jurisdiction (e.g., 1M from high-risk country), rapid cash withdrawal far from HQ (80% in 48 hours across country), transfers to conflict zone sub-NPOs where terrorists control aid distribution.

B.1.1: FATF Mutual Evaluation - Two Pillars

Technical Compliance vs. Effectiveness

- **Technical Compliance:** Do laws exist on paper? (40 Recommendations rated compliant, largely compliant, partially compliant, non-compliant).
- **Effectiveness:** Do laws achieve intended outcomes? (11 Immediate Outcomes rated high, substantial, moderate, low).

Critical: A country can have **perfect technical compliance** (all laws in place) but **Low effectiveness** if:

- FIU never disseminates intelligence to law enforcement (reports sit on server).
- Zero ML convictions despite high predicate crime (e.g., drug trafficking).
- No asset forfeitures (no money recovered).

B.1.2: FATF Immediate Outcomes (IO.1-IO.11)

Key Immediate Outcomes (Heavily Tested)

- **IO.1:** ML/TF risks understood and coordinated domestically (national risk assessment exists and is used).
- **IO.6:** Financial intelligence used by competent authorities (FIU reports lead to investigations).
- **IO.7:** ML investigated and prosecuted (actual convictions, not just charges).
- **IO.8:** Proceeds of crime confiscated (assets recovered, not just restrained).
- **IO.10:** TF investigated and prosecuted (standalone TF cases, not just ML).

Evidence for IO.1: Regular NRA (every 3-5 years) that drives resource allocation (e.g., budget for high-risk sectors), NOT just existence of laws.

B.1.3: FATF Grey List vs. Black List

Grey List - Increased Monitoring (e.g., Turkey, Jamaica, Albania)

- Committed to action plan with specific deadlines (e.g., improve beneficial ownership registry, increase ML prosecutions).
- Financial institutions should apply EDD to transactions involving grey list countries.
- NOT automatically required to terminate relationships (risk-based: assess individually).
- Individual risk assessments required (e.g., customer doing legitimate business vs. shell company).

Black List - Call for Action (e.g., Iran, North Korea)

- Strategic deficiencies (e.g., no AML regime, no TF criminalization).
- Apply **countermeasures** (e.g., enhanced scrutiny, restrictions, or termination).
- FATF calls on members to apply enhanced due diligence or

B.1.4: FATF Recommendation 16 - Wire Transfer Rule

Required Information (Cross-border > USD 1,000)

Originator:

- Full name (legal name, no initials).
- Account number (or unique reference if no account).
- Address (residential or business), national ID number, customer ID number, OR date and place of birth (at least ONE of these).

Beneficiary:

- Full name.
- Account number (or unique identifier).

Most critical violation: Omitting ALL three qualifying identifiers (address, ID, DOB) for originator when sending wire over \$1,000.

B.1.5: FATF Recommendation 10 - CDD Triggers

When CDD Must Be Conducted

- 1 Establishing business relationship (before or during onboarding).
- 2 Occasional transaction above threshold (USD/EUR 15,000 or local equivalent).
- 3 Suspicion of ML/TF (regardless of amount, even \$10).
- 4 Doubt about veracity of previously obtained ID (e.g., fuzzy copy, mismatch).

CDD elements: 1) Identify customer (name, DOB, address), 2) Verify ID (documentary or electronic), 3) Identify beneficial owner (natural person), 4) Understand purpose and intended nature (expected activity), 5) Ongoing monitoring (refresh, transaction screening).

B.1.6: FATF Recommendation 1 - Risk-Based Approach

RBA Principles

- Identify, assess, understand ML/TF risks (jurisdictional, sectoral, customer, product).
- Apply measures **commensurate with risks** (high risk = EDD, low risk = SDD).
- Simplified measures where risks are lower (e.g., capped accounts, basic products, low-risk geography).
- Enhanced measures where risks are higher (PEPs, high-risk jurisdictions, complex structures).
- **NOT** zero-risk tolerance (impossible; objective is managed risk).

Contrast with rules-based approach: RBA is more effective and efficient; concentrates resources on highest risks rather than applying same controls everywhere.

B.1.7: FATF Recommendation 3 - Money Laundering Offense

Key Requirements

- Apply to **all serious predicate offenses** (all-crimes approach preferred; at minimum, 22 designated categories including drug trafficking, fraud, corruption, tax crimes, environmental crime).
- Apply to **self-laundering** (predicate offender can be charged separately; no third-party launderer needed).
- Apply regardless of whether predicate offense occurred in another jurisdiction (extraterritorial application).

Minimum predicate offenses: At least designated categories including drug trafficking, fraud, corruption, tax crimes. Countries can add more.

B.1.8: FATF Recommendation 5 - Terrorist Financing Offense

TF Offense Requirements

- Criminalize TF regardless of whether funds actually used for terrorist act (attempt or conspiracy sufficient).
- **No minimum monetary threshold** (even 1 is enough).
- Collection of funds for terrorist purposes is sufficient (fundraising for designated terrorist group).
- Standalone offense (not just covered under ML; separate statute or section).

Deficiency: \$10,000 threshold for TF violates Recommendation 5 (implies small amounts are legal). Zero convictions despite known TF activity = low effectiveness on IO.10.

B.1.9: FATF Recommendation 8 - NPOs

NPO Obligations

- Apply targeted risk-based supervision of NPOs vulnerable to TF (not all NPOs, only high-risk subset).
- Mechanisms to prevent NPO misuse by terrorist organizations (e.g., donor verification, fund tracking).
- Outreach, supervision, monitoring of cross-border transactions (e.g., suspicious wire to conflict zone).

NOT exempt: Conflict zone NPOs are HIGH risk, not exempt from scrutiny. Cash withdrawal velocity mismatch with charitable mission (e.g., \$500k withdrawn in 48 hours for "food aid" but no food purchased) = red flag.

B.1.10: FATF Recommendation 14 - MVTs (Hawala)

Money or Value Transfer Services

- Must be licensed or registered (no unlicensed operators).
- Subject to AML/CFT monitoring (CDD, recordkeeping, STR filing).
- Unlicensed providers subject to sanctions (criminal or administrative penalties).
- **No cultural heritage exemption** for hawala (traditional but still regulated).

Hawala risks: Trust-based settlement (honor system), no traceable banking record (only logbooks), no CDD (often nickname based), no SAR filing (underground).

B.1.11: FATF Recommendation 15 - New Technologies

Virtual Assets and VASPs

- Countries must assess ML/TF risks of new technologies (e.g., DeFi, privacy coins, NFTs).
- VASPs must be licensed or registered (crypto exchanges, custodial wallet providers).
- Subject to AML/CFT obligations (CDD, Travel Rule, recordkeeping, SAR filing).
- **No exemption** for DeFi if control exists (see earlier DeFi slide).

Applies to: Crypto exchanges (CEX), custodian wallet providers, certain DeFi protocols with admin keys, OTC desks, some NFT platforms if they facilitate value transfer.

B.1.12: FATF Recommendation 19 - High-Risk Jurisdictions

Response to FATF-Designated High-Risk Jurisdictions

Black List (Call for Action - Iran, North Korea):

- Apply EDD to relationships and transactions (enhanced scrutiny).
- Apply countermeasures (may include restricting, limiting, or terminating correspondent relationships).

Grey List (Increased Monitoring - e.g., Turkey, Jamaica):

- Apply EDD (enhanced scrutiny).
- Countermeasures not automatically required (risk-based).
- Individual risk assessments (customer-by-customer).

B.1.13: FATF Recommendation 20 - STR Filing

STR Timing - Critical

- File STR **immediately upon suspicion** (no delay to gather more evidence).
- Regardless of transaction value (1 or 1 million).
- **No requirement for conclusive proof** (reasonable suspicion is enough).
- Reasonable suspicion standard (more than a hunch, less than probable cause).

\$2,500 suspicious transaction (e.g., structuring, potential fraud) → **MUST** file STR. Cannot wait for \$10,000 threshold or conclusive evidence (e.g., conviction).

B.1.14: FATF Recommendation 24 - Legal Person Transparency

Beneficial Ownership of Legal Persons

- Prohibit bearer shares OR require immobilization with regulated custodian (bank, licensed agent).
- Adequate, accurate, current BO information must be obtained and held by company (by law).
- Information accessible to competent authorities (FIU, LE, supervisors) in a timely manner.

Deficiency: BO registry exists but not accessible to FI without court order (delay of weeks) = violation. Also, no requirement to update BO after change.

B.1.15: FATF Recommendation 25 - Trusts

Beneficial Ownership of Legal Arrangements

- Trustees must hold adequate, accurate, current BO information (on settlor, protector, beneficiaries).
- Information accessible to competent authorities (must be able to produce on request).
- Applies to express trusts (created intentionally, not resulting or constructive trusts).

Who to identify: Settlor, trustee(s), protector (if has veto or replacement rights), beneficiaries (to extent determinable - named or class). Bank must collect this.

B.1.16: FATF Recommendation 26 - Supervision of FIs

Supervisory Requirements

- Supervisors must have adequate powers (inspect books and records, impose sanctions, issue cease-and-desist orders).
- Risk-based approach to allocate resources and determine examination frequency (high-risk FIs examined more often, low-risk less).
- On-site and off-site monitoring (remote data analysis + in-person audits).

Deficiency: 5-year examination frequency for all banks regardless of risk (no risk differentiation), no penalties issued in 10 years (weak enforcement).

Financial Investigation Requirements

- LE must conduct financial investigations into ML/TF (follow the money, not just crime scene).
- Must be able to identify, trace, initiate freezing and seizure of assets.
- Must have power to obtain financial records **expeditiously** (days, not months).

Deficiency: 6-12 month delay to obtain bank records (requires court order for every request) → undermines effectiveness of investigations (assets moved by then).

Cross-Border Currency Declaration

- Declaration or disclosure system for currency and bearer negotiable instruments (e.g., cash over \$10k, traveler's checks).
- Authority to stop/restrain couriers at border and question them.
- Sanctions for false declarations or non-disclosure (seizure, fines, criminal charges).

Deficiency: No declaration system at border + intercepted couriers with \$500k cash + no penalties (just confiscation with no follow-up) = violation.

B.2.1: UNSCR 1540 - Proliferation Financing

Proliferation Financing Red Flags

- Export of dual-use goods (materials with civilian and military use) to country under UNSC nuclear sanctions (e.g., North Korea, Iran).
- Payment routed through third-party intermediaries in different countries (trade-based layering).
- Inconsistent end-use declaration (e.g., "atmospheric research" for radiation-hardened integrated circuits).
- Destination under UN arms embargo (e.g., shipping to non-state actor in conflict zone).

Bank obligation: Decline financing (don't process payment), file STR, notify export control authority, freeze assets if required by UNSCR.

B.3.1: Egmont Group - FIU Information Exchange

Egmont Group Principles

- Secure platform (Egmont Secure Web) for FIU-to-FIU exchange (bilateral or multilateral).
- Information used **ONLY** for AML/CFT purposes (no tax or other crimes unless allowed by both FIUs).
- Receiving FIU must maintain confidentiality (cannot share with third parties without consent).
- **NOT a substitute for MLAT** (intelligence not automatically admissible in court as evidence).

MLAT vs. Egmont: MLAT for evidence admissible in court (formal, slow, requires treaty); Egmont for intelligence sharing between FIUs (informal, fast, not court-admissible without conversion).

B.4.1: Wolfsberg Group

Wolfsberg Group - Key Facts

- Private association of **13 global banks** (e.g., Goldman, Barclays, UBS, Santander).
- Develops best practices and guidance (not legally binding, but industry standard).
- Focus: correspondent banking, private banking, AML/CFT, trade finance.
- CBDDQ (Correspondent Banking Due Diligence Questionnaire) - standard template for assessing respondent banks.

Most critical risk factor: Respondent servicing unlicensed MSBs + payable-through access for those MSBs + 4-year audit gap (no independent testing) = high risk requiring termination or remediation.

B.4.2: Basel Committee on Banking Supervision

Basel Committee Expectations

- AML/CFT integrated into **overall operational risk management** (not siloed compliance).
- Across all **three lines of defense** (business, compliance, audit).
- Enterprise-Wide Risk Assessments (EWRAs) required (holistic view of all risks).

Three Lines: 1st = business operations (owns risk, implements controls); 2nd = compliance/risk management (oversight, guidance); 3rd = internal audit (independent assurance).

B.5.1: Mutual Legal Assistance Treaties (MLATs)

MLAT Function

- Formal, legally binding mechanism between countries (bilateral or multilateral).
- Exchange of evidence, judicial documents (e.g., bank records, sworn witness statements).
- Cross-border asset freezing and forfeiture (international cooperation).
- Records obtained admissible in criminal proceedings (unlike Egmont intelligence).

Process: MLAT request from Country A to Country B's judicial authority (e.g., U.S. DOJ to Swiss Federal Office of Justice) for bank records. Takes months to years.

B.6.1: National Risk Assessments (NRAs)

Using NRA in Bank's EWRA

- Adjust bank's EWRA to reflect national findings (if NRA says real estate is high risk, bank must enhance monitoring of real estate customers).
- Enhance monitoring of identified high-risk sectors (add rules, increase thresholds).
- Apply additional EDD measures for sectors identified as highest risk (e.g., verify source of wealth for all real estate purchases over \$500k).
- Allocate resources proportionately (more budget to high-risk areas).

Example: NRA identifies electronics imports as highest TBML risk → bank enhances monitoring of electronics import customers (e.g., daily invoice review instead of monthly).

B.7.1: Wolfsberg CBDDQ Key Areas

Wolfsberg CBDDQ Covers

- 1 Respondent's AML/CFT policies, procedures, controls (written program).
- 2 Customer base (high-risk segments: MSBs, NBFIs, foreign PEPs, shell companies).
- 3 Independent testing schedule and results (last audit, findings, remediation).
- 4 AML program audit status (when last audited, by whom, outstanding issues).

NOT covered: CEO's personal investments (irrelevant), office furniture (irrelevant), employee dress code (irrelevant).

B.8.1: Enterprise-Wide Risk Assessment (EWRA)

EWRA Components

- Inherent risk across: products (e.g., wire transfers high, savings accounts low), services (e.g., trade finance high), customer types (e.g., PEPs high), geographies (e.g., high-risk countries), delivery channels (e.g., online high).
- Mitigating controls in place (e.g., transaction monitoring, EDD, training).
- Residual risk determination (inherent minus controls).
- Drives resource allocation (budget, staffing, technology).

High residual risk (≥6.0/10): Board escalation, audit prioritization, risk mitigation plan required with timeline (e.g., 6 months to reduce).

Section 311 - Primary ML Concern

Measures that can be imposed on designated jurisdictions, institutions, or transaction types:

- Prohibit or condition correspondent/payable-through accounts (e.g., no new accounts, restrict existing).
- Impose special recordkeeping/reporting requirements (e.g., report all transactions over \$5k).

NOT authorized: Seize personal assets of employees (requires separate authority), freeze all individual customer accounts (only on suspicion).

Shell Bank Prohibition - Absolute

Shell bank definition: Bank with NO physical presence (office, employees) in ANY country, NOT affiliated with regulated financial institution (no parent company). **U.S. banks absolutely prohibited** from maintaining correspondent accounts for foreign shell banks. No exceptions.

No exceptions for: G20 regulation (not relevant), SAR filing (doesn't cure), enhanced monitoring (not sufficient).

B.9.3: USA PATRIOT Act Section 314(a)

314(a) - Law Enforcement Requests

Obligations:

- Search accounts and transactions per FinCEN instructions (look for named subjects).
- Maintain confidentiality of request (cannot disclose to customer or public).
- Report matches to law enforcement (via FinCEN).
- **CANNOT** freeze accounts automatically (only if separate authority).

Not required: Freeze accounts (no), file SAR for every searched account (only if additional suspicion), notify customer (tipping-off).

B.9.4: USA PATRIOT Act Section 314(b)

314(b) - Voluntary Information Sharing

Permissible:

- Opted-in institutions (FIs that filed notice with FinCEN) may share info about suspected ML/TF.
- Safe harbor from liability (cannot be sued for sharing).
- Build complete picture across institutions (e.g., Bank A sees deposit, Bank B sees withdrawal).

NOT tipping-off: Sharing under 314(b) is explicitly permitted by law. Can share with other opted-in FIs without violating SAR confidentiality.

B.9.5: USA PATRIOT Act Section 319(b)

319(b) - Record Production

- U.S. (Treasury/DOJ) can demand foreign bank produce records of U.S. correspondent account (e.g., all transactions over \$10k).
- If foreign bank refuses: U.S. bank may be required to terminate the correspondent account.
- Funds in the correspondent account may be seized (if related to ML).

Key distinction 319(a): Forfeiture of funds in interbank accounts traceable to money laundering (different section).

B.9.6: BSA Five Pillars (31 CFR §1020.210)

Five Required Pillars

- 1 Internal controls (written policies, procedures).
- 2 Designated compliance officer (BSA Officer/MLRO, with authority and resources).
- 3 Ongoing employee training (initial and periodic, role-based).
- 4 Independent testing (audit by independent party, not self).
- 5 Customer due diligence (including beneficial ownership identification).

All five required. CDD Rule (2016) added beneficial ownership as fifth pillar. No pillar can be outsourced entirely without oversight.

B.9.7: FinCEN CDD Rule - Two Prongs

Beneficial Owner Identification

Ownership Prong: Any individual owning 25% or more of legal entity (directly or indirectly, via shares or voting rights). **Control Prong:** At least one individual with significant managerial control (CEO, CFO, COO, president, general partner, or similar).

Aggregation required: Direct + indirect ownership (multiply through tiers: 50% of parent that owns 50% of subsidiary = 25%). Must ask each.

B.9.8: SAR Safe Harbor (31 U.S.C. §5318(g))

Safe Harbor Protections

- Immunity from civil liability for good-faith SAR filing (cannot be sued for defamation, breach of privacy, etc.).
- Immunity from liability for failure to disclose SAR to customer (cannot be sued for not telling them).
- **Does NOT permit** using SAR as evidence in court (except in limited criminal cases for false statements).

Confidentiality: Unauthorized disclosure of SAR (or fact of filing) is criminal offense (fines + imprisonment up to 5 years). Retention: 5 years from filing date.

B.10.1: Secondary Sanctions Risk

OFAC Secondary Sanctions - Extraterritorial

- Can target non-U.S. entities (including banks, companies) with **no U.S. nexus** (no U.S. dollar clearing, no U.S. office).
- Process: conduct "significant" transactions with designated sectors (Iran energy, Russia defense, North Korea, Syria, Venezuela oil).
- Consequences: SDN listing (blocked), loss of USD correspondent access, cut off from dollar-clearing system (effectively excluded from global finance).

EU Blocking Statute: Provides legal defense in EU courts (allows recovery of damages) but DOES NOT prevent U.S. secondary sanctions (U.S. can still sanction EU entity).

B.11.1: PPP Purpose and Function

Public-Private Partnership Goals

- Improve intelligence sharing between government (FIU, LE, regulators) and FIs (banks, MSBs, VASPs).
- Detect complex financial crime networks (e.g., human trafficking rings, TF cells).
- Share emerging typologies (e.g., new crypto mixer patterns, TBML schemes).
- Help law enforcement prioritize financial intelligence (which SARs matter most).

Does NOT replace: SAR filing (still required), independent testing, CDD obligations (still required).

B.12.1: FinCEN 314(a) Search Requirements

Search Obligations

- Search accounts AND transactions (current and historical, as specified).
- Time period specified in request (e.g., last 6 months, 1 year).
- Confidentiality required (cannot tell customer, cannot discuss publicly).
- Report matches (via FinCEN secure system) but do NOT freeze accounts (unless separate legal process).

When search required: Upon receipt of 314(a) request from FinCEN (periodic, typically every 2 weeks). No option to opt out.

B.13.1: GDPR vs. AML - Right to Erasure

Resolution (GDPR Article 17(3))

Exception to right to erasure ("right to be forgotten") where retention necessary for compliance with legal obligation. **AML/CFT recordkeeping obligations (e.g., 5-10 years) OVERRIDE GDPR erasure requests.** Bank can refuse deletion.

Also: SAR confidentiality prohibits acknowledging existence of SAR to customer (even in GDPR response, cannot say "we can't delete because of SAR" - tipping-off).

C.1.1: Systemic Governance Failures

Root Causes of BSA Program Failure

- Vacant BSA Officer position (11+ months with no replacement, duties assigned to untrained staff).
- No independent testing independence (audit tests its own control designs - circular).
- Missing EDD documentation (34% of high-risk accounts lacked SoW/SoF, board not informed).
- Poor SAR quality (60% lacked sufficient detail for LE action, just "suspicious").
- No program maintenance (monitoring rules never recalibrated in 5 years, despite new typologies).

Not technology failure → structural changes to accountability, resources, board engagement required. Regulators expect remediation plan.

C.2.1: Three Lines of Defense - Roles

Correct Alignment

- **First Line:** Business operations (relationship managers, tellers, trade finance officers) - OWN customer relationships, identify anomalies, implement controls.
- **Second Line:** Compliance Department, AML Officer, MLRO - OVERSIGHT, guidance, monitoring, reporting.
- **Third Line:** Internal Audit - INDEPENDENT assurance to Board, tests design and effectiveness.

Independence violation: Audit cannot design controls it later tests (e.g., audit writes monitoring rules then audits them - conflict). Must be separate.

C.2.2: Board of Directors Responsibilities

Board AML Responsibilities

- Approving AML compliance program and material changes (annually or when significant).
- Providing oversight (receiving reports, questioning management).
- Holding senior management accountable for AML effectiveness (tie compensation to compliance).
- Receiving escalation for high residual risk (must be informed and action taken).

NOT Board responsibilities: Filing SARs (BSA Officer), reviewing every transaction (monitoring team), KYC interviews (front line) - operational tasks.

C.3.1: Risk Appetite Statement (RAS)

Well-Constructed RAS

"Zero-tolerance for willful violations; some residual risk acceptable after controls; resources allocated proportionately to higher-risk areas."

Key elements:

- Acknowledges zero risk is unattainable (cannot eliminate all ML/TF risk).
- Defines acceptable vs. unacceptable risk (e.g., no shell banks, no unlicensed MSBs).
- Guides resource allocation (e.g., 40% of budget to correspondent banking if high risk).
- Board-approved (documented, reviewed annually).

C.4.1: Residual Risk Determination

EWRA Process

Inherent Risk (before controls) - Mitigating Controls (effectiveness) = Residual Risk (after controls).

High residual risk (≥6.0/10) requires:

- Board escalation (presented to board with recommendations).
- Independent audit prioritization (audit will test controls in that area).
- Risk mitigation plan with timeline (e.g., reduce to ≤5.0 within 12 months).

C.5.1: Calibrating EDD Intensity

Risk-Proportionate EDD - Example

Scenario X (Domestic PEP, \$5k salary account, known moderate corruption risk):

- Verify PEP status (confirm role), source of salary funds (pay stubs), board approval.
- Lower intensity EDD (no full asset tracing).

Scenario Y (Foreign PEP, \$45M, ministry-linked funds, high corruption jurisdiction):

- Full source of wealth investigation (career, gifts, inheritance, business).
- Corroborated documentation (tax returns, deeds, audited statements).
- Senior management sign-off (CCO or board).
- Transaction-by-transaction review (every wire over \$50k approved).

C.6.1: Documentation Hierarchy

Definitions

- **Policies:** High-level board-approved principles (e.g., "We will identify and verify beneficial owners").
- **Standards:** Mandatory requirements implementing policies (e.g., "Beneficial ownership defined as 25%+ ownership OR control prong").
- **Procedures:** Detailed step-by-step instructions (e.g., "Step 1: Collect CDD form; Step 2: Verify ID via driver's license scan; Step 3: Input into system").

Example: Policy = "High-risk customers require EDD" → Standard = "EDD includes SoW/SoF verification" → Procedure = Step-by-step SoW documentation guide with templates.

C.7.1: Proactive Regulatory Monitoring

Effective Horizon Scanning Includes

- Regulatory proposals (pending, not just effective - e.g., comment periods).
- FATF publications and guidance (e.g., new risk indicators, updated recommendations).
- Enforcement actions against peer institutions (see what regulators are fining for).
- Emerging typology reports (e.g., Europol, FinCEN, national FIUs).

Purpose: Adjust AML program BEFORE requirements become mandatory (e.g., prepare for Travel Rule 6 months before effective date).

C.8.1: Documented Risk-Based Termination

Justified Risk-Based Exit (NOT De-Risking)

Termination based on:

- Documented individual risk assessment (not blanket exclusion of all MSBs, but this specific MSB).
- Specific risk factors (downstream customer composition of that respondent, e.g., serves unlicensed money transmitters).
- Respondent's failure to respond to multiple RFIs (e.g., 3 requests over 6 months ignored).

Defensible: Banks not required to maintain relationships with unacceptable AML risk. Must have paper trail.

C.9.1: Effective Board Reporting Metrics

Key Metrics for Board

- SAR filing trends (volume, types, quality rating if any).
- Alert-to-SAR conversion rates (e.g., 5% of alerts become SARs; if 0%, possible under-filing).
- Aging of open investigations (e.g., 40% over 60 days old - resource issue).
- Independent testing results (findings, severity, remediation status).
- Regulatory exam findings (MRA/MRIA counts, deadlines).
- Emerging typologies (e.g., new crypto scheme affecting peers).

NOT sufficient: Total accounts opened (operational, not AML), monthly net income (financial, not risk), training completion counts without assessment (no measure of effectiveness).

C.10.1: SAR Filing Standard

Reasonable Suspicion - NOT Conclusive Proof

- Standard = reasonable suspicion (more than a hunch, less than probable cause).
- Failure to file when standard met = regulatory risk (fines for willful blindness).
- BSA Officer can face personal liability (fines, even criminal in egregious cases).
- Commercial relationship (e.g., "this is a good customer") NOT a valid basis for non-filing.

"Evidence not conclusive" (e.g., "we don't know for sure if it's drugs") is NOT a valid reason to decline SAR filing. File and let LE investigate.

Material Deficiency - Unverified Assumptions

- Cannot close alert based on unverified assumptions (e.g., "probably a gift").
- Must obtain supporting documentation (e.g., gift deed, donor's ID, source of donor's funds).
- Compare against expected activity profile (customer onboarding CDD).
- Escalate if legitimate explanation cannot be documented (lack of evidence is itself suspicious).

Example: "Customer is a car dealer; cash from sales is normal" without reviewing daily sales logs for consistency = deficient investigation.

C.11.1: Integration with Operational Risk

Basel Committee Expectation

AML/CFT risk management integrated into bank's overall operational risk framework across all three lines of defense - NOT a siloed compliance function.

Collaboration areas:

- Cybersecurity shares threat intelligence with AML (e.g., account takeover patterns, malware).
- Data privacy coordinates with AML for GDPR compliance (e.g., data retention schedules).
- IT ensures data quality for transaction monitoring (e.g., complete customer ID fields).

C.12.1: Trigger Events for Immediate KYC Refresh

Material Change Triggers

- Wire transfers to sanctioned jurisdictions (e.g., Syria, North Korea, Iran, Crimea).
- Change in management/ownership (new director, new 25%+ owner).
- New international activity not in profile (e.g., customer said no cross-border wires, now sends 500k to Turkey).
- Adverse media (e.g., named in corruption investigation, OFAC SDN update).
- PEP designation change (e.g., customer becomes minister).

Cannot wait for scheduled refresh (every 1, 2, or 3 years) -
immediate out-of-cycle CDD required, typically within 5-10 business days.

C.13.1: False Negative Risk

77% False Negative Rate = Material Deficiency

- 77% of historical SAR cases would NOT generate alerts under current thresholds (meaning 77 of 100 past SARs would be missed).
- NOT acceptable because alert volume is high (22k/month) - efficiency cannot justify missing actual crime.
- Operational burden not justification for ineffective monitoring (can't say "too many alerts, we raised thresholds to reduce work").

Required: Recalibrate (lower thresholds, add rules), document findings, remediation plan with timeline (e.g., 3 months to implement), present to board.

C.14.1: Multi-Dimensional Risk Matrix

Risk Factors (rated Low/Medium/High)

- ① Customer type/PEP status (e.g., foreign PEP = high, domestic low-risk employee = low).
- ② Geographic risk (e.g., FATF black list = high, EU = low).
- ③ Product/service risk (e.g., correspondent banking = high, basic savings = low).
- ④ Source of funds complexity (e.g., complex offshore trust = high, salary = low).

Aggregate scores:

- 4-6 points: Standard CDD (routine checks).
- 7-9 points: Medium EDD (additional questions, some documentation).
- 10-12 points: Full EDD + Senior Management Approval (SoW/SoF, ongoing monitoring).

C.15.1: Proliferation Financing Controls

Dual-Use Goods Controls

- End-user certification verification (signed statement of intended use).
- Trade finance documentation chain analysis (invoice, bill of lading, packing list).
- Economic rationale assessment (does a country with no space program need radiation-hardened chips?).
- UNSC/OFAC sanctions screening (denied parties, restricted entities).

Red flags: RadHard ICs (radiation-hardened integrated circuits) + UN arms embargo destination (e.g., Iran) + "atmospheric research" end-use (implausible) + multi-intermediary payment (e.g., through 3 shell companies).

C.16.1: Insider Threat Response

Unauthorized SAR Data Access

- Immediate revocation of system access (within hours, not days).
- Escalate to HR and BSA Officer (conduct internal investigation).
- Investigate scope of unauthorized access (which SARs, which customers).
- Consider SAR filing (tipping-off if employee warned target, or other violations like computer fraud).

Not acceptable: Warning email only (slap on wrist), no escalation (handled within department), no access revocation (still have permissions).

C.17.1: Required Documentation

Before Closing an Alert

Must obtain and review:

- Source documents (daily sales logs, title records, receipts, contracts, invoices).
- Compare against expected activity profile (onboarding CDD and periodic refresh).
- Check consistency with known customer behavior (past 6-12 months).
- Document rationale for closure (e.g., "verified with sales logs, matched to \$50k daily average").

Cannot close based on: "Customer is a dealer; cash is normal" (unverified assumption). Must verify with data.

C.18.1: Complete Investigative File

Required Components

- Chronological narrative (timeline of events and steps taken).
- All investigative steps taken (which systems searched, whom interviewed, what documents reviewed).
- Financial data analysis (flowcharts, transaction summaries, network maps).
- Clear conclusions (why suspicion did or did not arise, referencing specific evidence).
- All supporting documentation archived (emails, logs, third-party data) for 5+ years.

NOT sufficient: "Account reviewed and deemed acceptable" with no supporting analysis or evidence (regulator will cite as deficient).

C.19.1: Post-SAR Account Management

SAR-Subject Account Requirements

- Formal senior management review (CCO, Head of Business, Legal).
- Documented justification for continued service (specific mitigating factors, not just "good customer").
- BSA Officer involvement in decision (cannot be excluded).
- Heightened ongoing monitoring (e.g., real-time alerts, transaction limits, weekly review).

Exclusion of BSA Officer = governance failure. "Commercial importance" (profit) not a valid override for continuing high-risk relationship after SAR.

C.20.1: Subpoena Response Protocol

Required Actions

- 1 Promptly comply within specified timeframe (e.g., 10 days, no delay).
- 2 Gather all requested documentation (accounts, transactions, CDD files, communications).
- 3 Maintain complete internal mirror file of everything produced (copy for bank's records).

Do NOT: Notify customer (may be tipping-off if SAR filed or investigation ongoing), destroy records (spoliation), refuse compliance (contempt).

C.20.2: Law Enforcement "Keep Open" Requests

Protocol for Keep Open Requests

- 1 Obtain request IN WRITING from law enforcement (on letterhead, with case number).
- 2 Document thoroughly (date, time, requesting officer, reason).
- 3 Obtain senior management approval (CCO, Legal).
- 4 Maintain heightened monitoring (do not let account go dormant while open).

Do NOT: Publicly announce cooperation (confidential), ignore request without documentation (could obstruct investigation), close account without coordination (may tip-off suspect).

What is NOT De-Risking

Individual, documented risk assessment based termination = justified risk-based exit. Example: specific MSB with poor audit history.

What IS De-Risking (discouraged):

- Blanket termination of all relationships in a region (e.g., "no Caribbean banks").
- Categorical exclusion based solely on geography (e.g., "no customers from Nigeria").
- No individual risk assessment (grouping diverse entities together without analysis).

C.22.1: Tipping-Off Violations

Tipping-Off Prohibitions

Prohibited:

- Telling customer a SAR has been filed (directly or indirectly).
- Disclosing compliance team is "reviewing transactions" specific to that account (implied SAR).
- Disclosing investigation to unauthorized third parties (press, other customers).
- Publicly announcing customer under investigation (press release, social media).

Permissible:

- Internal sharing with legal department (need-to-know, attorney-client privilege).
- 314(b) sharing with other opted-in institutions (statutory exemption).
- Responding to law enforcement subpoena (not tipping-off if under seal).

C.23.1: Role-Based Training Requirements

Tailored Training by Role

- **Tellers:** Cash structuring indicators (patterns of just under 10k), CTR reporting procedures.
- **Private bankers:** PEP identification and EDD, Source of Wealth documentation, adverse media.
- **Board:** Governance oversight, risk strategy, regulatory expectations, personal liability.
- **IT:** Data quality, system security, monitoring integrity, audit trails.

One-size-fits-all training = INEFFECTIVE (audit finding). Must test comprehension, not just attendance.

C.24.1: AML Function Independence

Reporting Structure Requirements

- Independent of business lines (no conflict of interest - cannot report to sales).
- Reports to senior management or board (e.g., Chief Risk Officer, General Counsel, directly to board).
- Direct access to board to escalate issues (can request board meeting without CEO approval).
- NOT reporting to sales/relationship management (structural conflict, as revenue pressure may override compliance).

Compliance reporting to sales department = structural conflict (e.g., sales director can fire compliance for blocking a profitable but risky customer).

C.25.1: Relationship Manager Obligations

First Line Responsibilities

- Identify unusual activity in their customer relationships (first to see anomalies).
- Report through internal escalation channels (to compliance, not just manager).
- Document observations (emails, notes, system flags).
- NOT independently close alerts without compliance review (no "RM override").

RM cannot override compliance determination based on "commercial importance" (profit motive does not excuse AML risk).

C.26.1: AML-Cybersecurity Collaboration

Cross-Functional Value

Cybersecurity shares with AML:

- Threat intelligence (indicators of compromise, IP addresses, malware families).
- Malware patterns (e.g., banking trojans, ransomware payments).
- Credential theft data (compromised logins sold on dark web).
- Account takeover indicators (unusual login locations, device changes).

Purpose: Identify money mules, cyber-enabled financial crimes, ransomware proceeds, BEC (business email compromise).

D.1.1: Network Analysis Tools

Link Analysis for ML Detection

- Maps relationships between accounts (who sends to whom, shared addresses, common devices).
- Identifies hidden clusters (mule networks, layering chains, circular patterns).
- Detects circular transactions ($A \rightarrow B \rightarrow C \rightarrow A$ within short period).
- Reveals common counterparties and addresses (multiple entities using same PO box, same phone number).

Example: 17 wallets funded from same exchange account, NFTs traded among themselves 89 times → network analysis exposes wash trading.

D.2.1: Data Quality Risks

Most Critical Data Issue

Missing customer identification numbers (e.g., SSN, tax ID, customer ID) preventing entity linkage across systems = greatest AML monitoring risk.

Consequences: Cannot link customer's activity across products (e.g., deposit account + credit card + trade finance), fragmented view, suspicious patterns hidden (e.g., total across all products may be high but each product individually low).

D.3.1: Risk-Based Onboarding Friction

Balancing Compliance and Experience

- Low-risk (e.g., domestic salary account, low transaction volume): streamlined digital verification (e-KYC, document upload, automated checks).
- High-risk (e.g., foreign PEP, complex corporate structure): additional steps commensurate with risk (in-person meeting, notarized docs, SoW forms).
- **NOT** same intensity for all customers (would drive away low-risk customers or be insufficient for high-risk).

Avoid: Zero verification (high risk) OR uniform intensive verification for all customers (poor experience, inefficient).

D.4.1: Strong Digital Onboarding

Multi-Layered Approach

- 1 Government ID document verification (passport, driver's license, national ID).
- 2 Facial recognition with liveness detection (customer moves head, blinks to prove real person, not photo).
- 3 Biometric comparison to ID photo (algorithm matches selfie to ID photo).
- 4 Geolocation/IP consistency checks (customer location matches stated residence, no VPN from high-risk country).

NOT sufficient: Self-reported name/address only (no verification), email verification only (anyone can create), no liveness detection (deepfake risk).

D.5.1: Credible OSINT Sources

Reliable Adverse Media Sources

- Official government gazettes (sanctions lists, debarment, regulatory actions).
- International sanctions databases (UNSC, OFAC, EU, UK HMT).
- Reputable investigative journalism consortia (ICIJ, OCCRP, Reuters Investigates, BBC Panorama).
- Commercial corporate registries (Dun & Bradstreet, Moody's, Refinitiv, Dow Jones).
- Court records (PACER, national court databases, legal filings).

NOT credible: Unverified social media (Twitter/X, Facebook), anonymous blogs (WordPress, Medium), unmoderated forums (Reddit, 4chan).

D.6.1: Fuzzy Logic Requirement

Why Exact-String Matching Fails

Arabic-origin names have many common transliterations (different spellings in Latin alphabet):

- SDN list entry: "Moammar Qaddafi"
- Wire transfer name: "Muammar Gadaffi"
- Exact-string match would miss.

Required: Fuzzy logic/algorithmic matching (e.g., Levenshtein distance, phonetic algorithms like Soundex) capable of identifying phonetically similar variants, typos, and common misspellings.

D.6.2: OFAC Voluntary Self-Disclosure

VSD Mitigation

- Can reduce civil penalty by up to 50% (sometimes more for truly voluntary, prompt, and complete disclosure).
- Requires full factual account (narrative, timeline, root cause analysis), remediation plan (fix the deficiency), and cooperation.
- **NOT automatic criminal referral** (most VSDs result in civil resolution, no criminal charges if truly voluntary and no willful evasion).

Aggravating factor: Pre-existing knowledge of deficiency not remediated (e.g., OFAC warned them last year, they did nothing, then they self-disclose).

D.7.1: Trigger-Based Refresh

Perpetual KYC (pKYC) Advantage

Continuously monitors for trigger events in near real-time:

- Sudden change in transaction pattern (e.g., 10x volume increase overnight).
- New high-risk counterparties (e.g., customer now sends wires to shell company in Caymans).
- Adverse media alerts (automated daily news scan).
- Sanctions list updates (re-screen existing customers when new SDNs added).

vs. periodic refresh (every 1-3 years): Timely detection rather than waiting for scheduled cycle. Detects issues when they occur, not years later.

D.8.1: Actionable Adverse Media

Reasonable Suspicion Standard - No Conviction Required

- CEO named (not charged) in parliamentary corruption inquiry (still actionable if credible).
- Predecessor company dissolved after trade fraud investigation (pattern of behavior).
- Counterparty's director on Interpol Red Notice (wanted for arrest).

Action: Escalate to compliance committee, re-assess risk rating, initiate EDD (request explanation), consider SAR filing if no legitimate explanation or if funds involved.

D.9.1: Re-Screening Requirements

Risk of One-Time Screening

When sanctions lists are updated (often daily or weekly):

- New designations added (individuals, entities, vessels, aircraft).
- Existing customers may become sanctioned (e.g., oligarch added to SDN list).
- Must re-screen existing customer base (full database scan).
- One-time onboarding screening is insufficient (would miss customers who were clean at onboarding but later designated).

Frequency: At least daily or with each list update, depending on jurisdiction and risk profile.

D.10.1: Wire Transfer Required Fields

SWIFT/Sanctions Screening Requirements

- Originator name (full name, no initials).
- Originator account number (or unique reference).
- Beneficiary name (full name).
- Beneficiary account number (IBAN or local).
- Originator address (for transfers ≥\$1,000 under FATF Rec 16 - at least city, country, postal code).

Missing fields = incomplete message, may be rejected or delayed.

D.11.1: False Negative Risk

Over-Filtering Danger

Raising thresholds (e.g., from 5k to 50k) or adding too many filters to reduce alert volume:

- Increases false negatives (missed suspicious activity that falls below new thresholds).
- More dangerous than false positives (false positives waste time but don't let criminals go undetected).
- NOT acceptable for operational efficiency alone ("we had too many alerts so we raised thresholds" is a finding).

Outcome: Material deficiency requiring recalibration and remediation plan.

D.12.1: Model Explainability Requirement

Black-Box Model Governance Risk

High accuracy (82%) insufficient if:

- Analysts cannot understand why transaction was flagged (no human-readable reason).
- Cannot validate for effectiveness (can't tell if model is actually working or just overfitting).
- Cannot identify/correct biases (e.g., model flags all transactions from certain ethnic names).
- Regulators cannot assess legal soundness (cannot audit a black box).
- SARs based on unexplained outputs may not withstand scrutiny (defense may challenge).

Requirement: Model explainability (e.g., SHAP values, LIME, decision trees) is core governance requirement.

D.13.1: Network Visualization Tools

Link Analysis for Investigation

Identifies hidden relationships:

- Common counterparties (multiple accounts sending to same payee).
- Shared addresses (multiple companies registered at same residential address).
- Circular transactions ($A \rightarrow B \rightarrow C \rightarrow A$, money returns to origin).
- Multi-account clusters (dozens of accounts controlled by same person).

Example: 17 accounts same IP address (or VPN exit node), same institutional lender (indicating common control), offshore repayments (circular flow).

D.14.1: NFT Wash Trading Detection

Circular Transaction Pattern

- 17 wallets funded from same exchange account (same KYC owner).
- NFTs bought/sold among themselves 89 times (no external buyers).
- Prices artificially inflated 2k\$340k over 3 months.
- Sold to third party at inflated price (now appears legitimate).

Action: SAR filing based on wash trading pattern (market manipulation, potential ML if original funds dirty).

D.15.1: GDPR-Compliant Data Sharing

Data Sharing for AML - Appropriate Safeguards

- Data sharing agreements (contracts between parties governing use and retention).
- Data minimization (share only necessary data fields, not entire CDD file).
- Contractual data protection provisions (encryption, access controls, breach notification).
- GDPR Article 49 derogations for AML (exemption for legal obligation, public interest).

NOT: Share all data without restrictions (GDPR violation) OR refuse all sharing out of fear (AML violation). Balance with safeguards.

D.16.1: Tool Selection Criteria

Highest Priority Factors

- ① Configurable to bank's specific risk profile (derived from EWRA) - not one-size-fits-all.
- ② Can integrate with existing core systems (core banking, CRM, payments).
- ③ Data ingestion capability (handles multiple formats, high volume, real-time or batch).

NOT highest: Lowest cost (may be ineffective), vendor marketing (hype), office location of vendor (irrelevant).

D.17.1: Risk-Based Resource Allocation

Proportionate Resource Allocation

- More resources (budget, staffing, technology) to higher-risk business lines, products, customer segments.
- Appropriate controls for lower-risk areas (standard, not zero).
- Based on EWRA findings (not revenue or politics).

NOT: Equal budget allocation regardless of risk (waste of resources on low risk, insufficient on high risk), allocation based solely on revenue (profitability may not correlate with risk).

Top 10 Most Tested Topics

- 1 **FATF Mutual Evaluations** - Technical Compliance vs. Effectiveness (IO.6, IO.7, IO.8).
- 2 **FATF Grey List vs. Black List** - EDD vs. Countermeasures.
- 3 **PEP EDD Requirements** - Source of Wealth AND Source of Funds (both required).
- 4 **USA PATRIOT Act Sections 311, 313, 314(a), 314(b), 319(b)** - Know each.
- 5 **Correspondent Banking** - Nested accounts, PTAs, shell banks.
- 6 **Three Lines of Defense** - Independence violation (audit designing controls).
- 7 **TBML Techniques** - Over-invoicing, under-invoicing, phantom shipping.
- 8 **SAR Filing Standard** - Reasonable suspicion (not conclusive proof).
- 9 **Transaction Monitoring** - False negatives & false positives (more dangerous).
- 10 **Tipping-Off** - What is prohibited (telling customer about SAR) vs. permissible (314(b) sharing).

Critical Red Flags - Quick Reference

- **Structuring:** \$9,000-\$9,800 repeated deposits (just under CTR).
- **PEP:** Minister's daughter, "consulting fees," refuses SoW docs.
- **TBML:** Price 400% above/below market, shell company exporter.
- **Human Trafficking:** Multiple individuals → 1 controller account → pays multiple residential utilities.
- **NPO/TF:** Rapid cash withdrawal (80% in 48hrs) far from HQ.
- **Correspondent:** Undisclosed nested transactions, PTA with unlicensed MSBs.
- **DeFi:** 68% governance token control, ability to upgrade code.
- **Sanctions:** Fuzzy name matching required (exact-string fails).

Exam Day Reminders

- **120 questions — 3.5 hours —** Passing score: **75** (approx 90 correct of 120).
- **Select Two/Three/Four** questions = get ALL correct for credit (no partial credit).
- **FATF and USA PATRIOT Act** = heaviest topics (about 30-40% of exam).
- **Read scenarios carefully** - facts matter (e.g., "foreign PEP" vs "domestic PEP" changes answer).
- **No penalty for guessing** - answer every question (eliminate obviously wrong answers first).

Good luck on your CAMS exam!